TSM

This note frames the current earnings base for TSM with emphasis on profitability, capital structure, and cash-flow durability.

Revenue	Net Income
$88.3B	$35.3B
25.0%	27.0%

Operating Margin	Free Cash Flow
45.7%	$26.5B
7.2%	178.1%

At a glance

- Revenue is $88.3B with 25.0% change versus the prior period.
- Net income is $35.3B, indicating current earnings scale.
- Operating margin is 45.7%, supporting the current profitability profile.

Executive Summary

TSM — Current period: 2024-12-31 | Prior period: 2023-12-31

TSM currently reports $88.3B revenue and $35.3B net income on the latest annual filing. Operating margin of 45.7% indicates the present level of earnings conversion.

Current balance-sheet and cash profile: current ratio 2.36x, free cash flow $26.5B.

Profitability

- Operating margin is 45.7% (7.2% vs prior); this defines current earnings conversion on sales.
- Net margin is 40.0% (1.6% vs prior); this captures current bottom-line efficiency.

Balance Sheet & Liquidity

- Current ratio is 2.36x (1.4% vs prior); this measures near-term liquidity headroom.
- Quick ratio is 2.14x (3.8% vs prior); this shows liquidity strength without inventory support.

Cash Flow & Risk

- Free cash flow is $26.5B (178.1% vs prior); this tests earnings quality and funding flexibility.
- Operating cash flow is $55.7B (37.3% vs prior); this shows internal cash generation capacity.

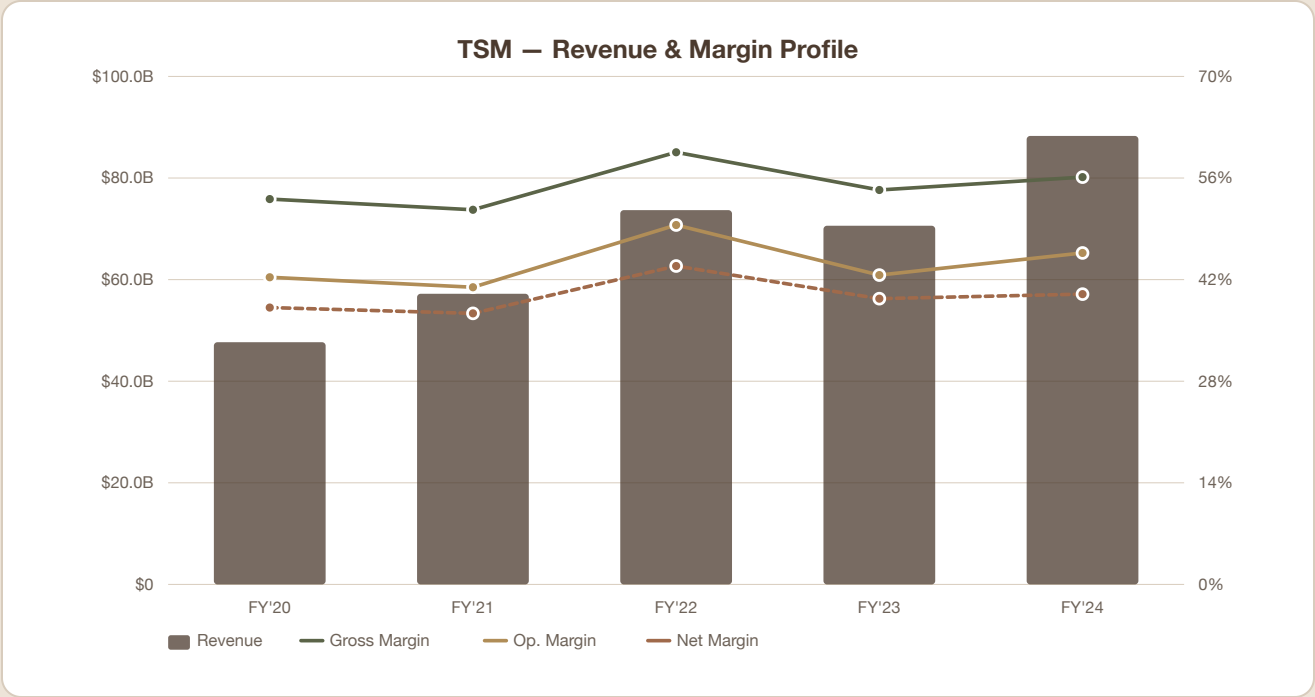
Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$88.3B	$70.6B	25.0%
Net Income	$35.3B	$27.8B	27.0%
Operating Margin	45.7%	42.6%	7.2%
Current Ratio	2.36x	2.33x	1.4%
Free Cash Flow	$26.5B	$9.54B	178.1%

Revenue	Net Income	Operating Margin	Free Cash Flow
$88.3B	**$35.3B**	**45.7%**	**$26.5B**

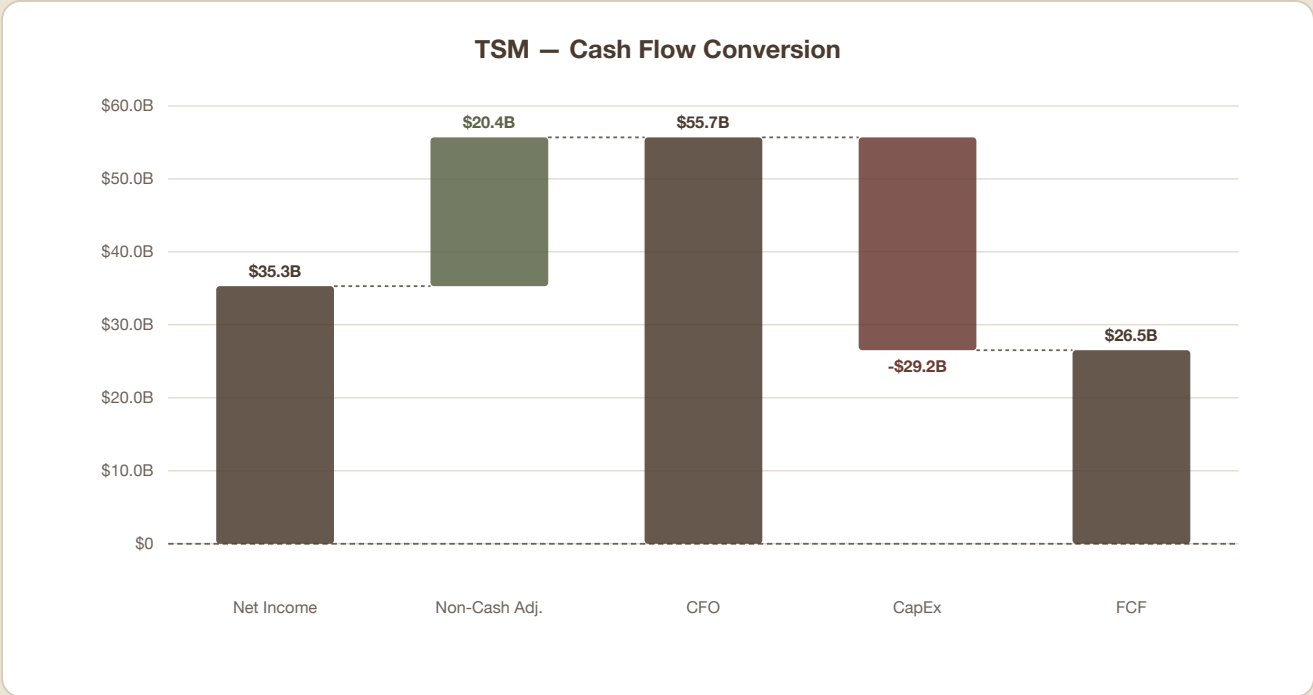
Visual Highlights I

TSM — Current period: 2024-12-31 | Prior period: 2023-12-31



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.

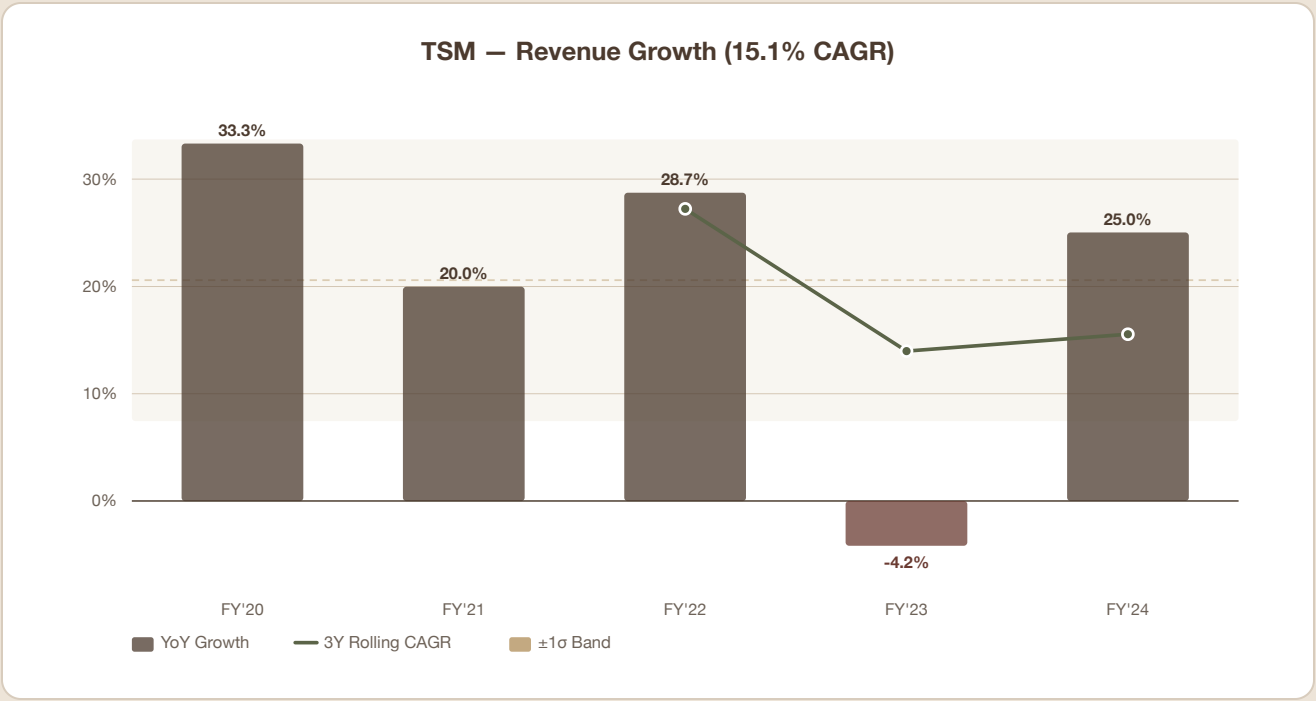


Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Visual Highlights II

TSM — Current period: 2024-12-31 | Prior period: 2023-12-31



Revenue Growth

Year-over-year growth path and stability over the latest annual periods.

Interpretation Snapshot

Key interpretation anchors from the same annual data used in the charts.

- Return on equity is 27.1%, indicating current capital productivity.
- Debt-to-equity stands at 0.05x, a direct read on leverage sensitivity.
- Current ratio is 2.36x, framing near-term liquidity coverage.
- Operating cash flow is $55.7B.

Key Metrics Dashboard

TSM — Current period: 2024-12-31 | Prior period: 2023-12-31

Profitability

Metric	Current Value	Prior Period	Change (%)
Operating Margin	45.7%	42.6%	7.2%
Net Margin	40.0%	39.4%	1.6%
Gross Margin	56.1%	54.4%	3.2%
Return on Equity	27.0%	24.6%	9.8%
Return on Assets	17.3%	15.4%	12.4%

Liquidity & Leverage

Metric	Current Value	Prior Period	Change (%)
Current Ratio	2.36x	2.33x	1.4%
Quick Ratio	2.14x	2.06x	3.8%

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$88.3B	$70.6B	25.0%
Net Income	$35.3B	$27.8B	27.0%
Operating Income	$40.3B	$30.1B	34.0%
Total Assets	$204B	$181B	13.0%
Stockholders' Equity	$131B	$113B	15.7%
Total Liabilities	$73.6B	$67.9B	8.4%

Key Metrics Dashboard (Cont.)

TSM — Current period: 2024-12-31 | Prior period: 2023-12-31

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$55.7B	$40.6B	37.3%
Free Cash Flow	$26.5B	$9.54B	178.1%
Capital Expenditures	$29.2B	$31.0B	-6.0%
Earnings Per Share (Diluted)	$1.36	$1.07	27.1%
Book Value Per Share	$5.03	$4.35	15.7%

Secondary Metrics

Metric	Current Value	Prior Period	Note
Gross Profit	$49.5B	$38.4B	Deterministic carry-through from appendix source lines
Current Assets	$94.2B	$71.7B	Deterministic carry-through from appendix source lines
Current Liabilities	$39.9B	$30.8B	Deterministic carry-through from appendix source lines
Cash & Equivalents	$64.9B	$47.9B	Deterministic carry-through from appendix source lines
Shares Outstanding	25.9B	25.9B	Deterministic carry-through from appendix source lines

Commentary

TSM — Current period: 2024-12-31 | Prior period: 2023-12-31

What stands out

- Revenue is $88.3B, with 25.0% growth versus the prior annual filing.
- Net income is $35.3B, with 27.0% change year over year.
- Operating margin is 45.7% and net margin is 40.0%, indicating current earnings conversion and bottom-line retention.

Watch items

- Validate next-period durability before extrapolating the latest one-year growth and margin profile.
- Watch Items No major quantitative red flags are active in the locked annual snapshot.

Analyst interpretation

- TSM currently combines scale and profitability, but the key decision point is whether margin and cash conversion stay consistent across the next filings.
- Cash generation remains a central validation point, with free cash flow at $26.5B in the latest annual period.
- Gross margin of 56.1% indicates strong pricing power. <! facts:gross margin.

Next Filing Checklist

- Confirm whether TSM can sustain revenue at $88.3B through the next filing cycle.
- Track free cash flow conversion versus earnings; current reference is $26.5B.

Appendix

TSM — Current period: 2024-12-31 | Prior period: 2023-12-31

Appendix A — TSM Income Statement

Metric	FY2024	FY2023	FY2022
Revenue	$88.3B	$70.6B	$73.7B
Cost of Revenue	$38.7B	$32.2B	$29.8B
Gross Profit	$49.5B	$38.4B	$43.9B
Operating Income	$40.3B	$30.1B	$36.5B
Net Income	$35.3B	$27.8B	$32.3B
EPS (Basic)	$1.36	$1.07	$1.25
EPS (Diluted)	$1.36	$1.07	$1.25
R&D Expenses	$6.23B	$5.96B	$5.31B

Appendix B — TSM Balance Sheet

Metric	FY2024	FY2023	FY2022
Shares Outstanding	25.9B	25.9B	25.9B
Total Assets	$204B	$181B	$162B
Total Liabilities	$73.6B	$67.9B	$66.6B
Stockholders' Equity	$131B	$113B	$95.0B
Current Assets	$94.2B	$71.7B	$66.8B
Current Liabilities	$39.9B	$30.8B	$32.1B
Cash & Equivalents	$64.9B	$47.9B	$43.7B
Inventory	$8.78B	$8.20B	$7.20B
Accounts Receivable	$8.26B	$6.57B	$7.48B

Appendix C — TSM Cash Flow Statement

Metric	FY2024	FY2023	FY2022
Operating Cash Flow	$55.7B	$40.6B	$52.4B
Capital Expenditures	$29.2B	$31.0B	$35.2B
Investing Cash Flow	-$26.4B	-$29.6B	-$38.8B
Financing Cash Flow	-$10.6B	-$6.69B	-$6.52B

Data Sources & Notes

Ticker	Form	Filed	Primary Document
TSM	6-K	2026-03-02	https://www.sec.gov/Archives/edgar/data/1046179/000104617926000027/tsm-dividendadjustmentx202.htm
TSM	6-K	2026-02-26	https://www.sec.gov/Archives/edgar/data/1046179/000104617926000024/tsm-fsx20260226x6k.htm
TSM	6-K	2026-02-25	https://www.sec.gov/Archives/edgar/data/1046179/000104617926000021/tsm-monthend6kx20260225.htm
TSM	6-K	2026-02-10	https://www.sec.gov/Archives/edgar/data/1046179/000104617926000019/a20260210directorsresoluti.htm
TSM	6-K	2026-02-10	https://www.sec.gov/Archives/edgar/data/1046179/000104617926000017/tsm-boardx20260210x6k.htm
TSM	6-K	2026-02-10	https://www.sec.gov/Archives/edgar/data/1046179/000104617926000015/tsm-revenue20260210.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Comparisons reflect each issuer's latest annual filing period unless otherwise noted.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-05. Retrieval date: 2026-03-05.

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